

greenhouse gases run by their corresponding local operators. So, these operators can save up on the amount of greenhouse gases they emit, and if they have carbon credits left over from the quota allotted to them, they can sell it to another company that needs carbon credits owing to it emitting greenhouse gases in excess to the quota allotted to it. This allows for flexibility while making sure that the entire amount of emissions still stays within the cap. Under this policy called the Clean

Development Mechanism (CDM), big companies (usually from the developed countries) that are exceeding their assigned quota of carbon credits can tie up with another company, or with its own subsidiary (usually in a developing nation) and make it more environmentally friendly. A portion of the total carbon credits earned by this smaller company can be transferred to the bigger company. Thus, an operator investing in carbon credits can go for the most cost-effective way to reduce emissions, either by investing in eco-friendly machinery and equipment, or by purchasing carbon credits from another operator who hasn't reached his quota of greenhouse emissions. The cap set for emissions also plays a major role, as a feasible yet strict cap is the best way to ensure reduction in gas emissions. If the cap is too high, then the amount of gases emitted into the atmosphere would be of an undesirable level. And if the cap is too low, then the allowances would be few and overpriced. Like most markets though, some safety valves are put in place to ensure that the value of the allowances lie in a certain price range. In cases of exceptionally high price, the governing body will release extra credits into the market to ensure stability of the price.

Entertaining the detractors A Carbon trading market definitely seems like the right solution to the problem that is greenhouse emissions considering the way it functions. The obvious impacts are the direct rewards to people who reduce greenhouse emissions and the penalties resulting from

